MATEBELELAND ENGINEERING (Pvt) Ltd
and
WAYNE WILLIAMS
and
REGIS MABURUTSE
versus
TONY RONATO SARPO
and
THE REGISTRAR OF COMPANIES

HIGH COURT OF ZIMBABWE
MAXWELL J
HARARE; 21 March 2025 & 17 April 2025

Opposed Matter

G Madzoka and T Majojo, for the Applicants
R T Mutero, for the First Respondents
No appearance for the second Respondent

MAXWELL J: On 24 February 2025 Applicants approached this court on an urgent basis in terms of the proviso to rule 59 (6) as read with rule 65 (8) of Statutory Instrument 202 of 2021. They were seeking the following order

"1. The urgent court application for a declaratory order and consequential relief be and is (sic) hereby granted.
2. The First Respondent is neither a director nor a shareholder in Matebeleland Engineering (Pvt) Ltd.
3. Any act done and to be done by the First Respondent whose effect is to act as though is (sic) a member or director of Matebeleland Engineering (Pvt) Ltd be and is hereby declared invalid and consequently null and void.
4. The First Respondent shall pay Applicants costs on a legal practitioner and client scale."

The certificate of urgency stated that First Respondent sought to interdict Second Applicant from his directorship in First Applicant and caused the company's bank account at Ecobank Zimbabwe Limited to be frozen. Further that First Respondent purporting to act as a director and shareholder of First Applicant suspended one employee and reinstated another whose employment had been terminated. The certifying Legal Practitioner stated that the freezing of the company's accounts prevents it from conducting its business operations, paying its employees and meeting its financial obligations whilst the unauthorised suspension and reinstatement of employees creates confusion and disruption within the company. Further that

the purported unilateral decision to remove the third Applicant from directorship of First Applicant is prejudicial to him and without legal basis.

The Founding Affidavit was deposed to by the Second Applicant. He stated that he has always been a director and holds 50% of the issued share capital in First Applicant. The other 50% is held by Gareth Fury. On the 7th of November 2012 Sarpo Investments represented by First Respondent entered into an agreement for sale of the 50 % shares belonging to Gareth Fury. He alleged that the agreement was never consummated as only the deposit was paid and the balance of the purchase price remained outstanding. On that basis First Respondent was only made a director of First Applicant and never assumed any role as a shareholder of the First Applicant. Second Applicant stated that in 2016, he parted ways with First Respondent as their relationship had soured. In 2017, the First Respondent approached the court seeking a provisional order that he be allowed to collect his assets from First Applicant. The Provisional order was granted. An appeal was noted which was subsequently upheld and the order allowing him to collect his assets was struck off the roll with costs. First Respondent then filed an answering affidavit and set the matter down for hearing. The matter was heard and the provisional order was confirmed on 18 August 2023. In his view, the order was granted in error, as despite their presence, second and third Applicants were not given audience after First Applicant was ruled to be improperly before the court. He submitted that the court's decision to proceed and disregard their presence as litigants in their personal capacities was unconstitutional and denied them the right to be heard.

The Second Applicant stated that they noted an appeal against the decision and applied for its stay pending a decision on the appeal. Stay was granted after costs were paid without prejudice basis and under protest. The Second Applicant further stated that on 20 February 2023 third Applicant received a letter interdicting him from acting as a director and interdicting him from carrying out his duties in First Applicant. On 13 February 2025 First Respondent wrote a letter to Ecobank Zimbabwe and caused First Applicant's bank accounts to be frozen. On 13 February 2025 the First Respondent suspended one employee of the First Applicant and reinstated another whose employment had been terminated. First Applicant was purporting to act as a director and shareholder of First Applicant in all these instances. Second Applicant averred that the First Applicant has a right to defend itself against the activities of the First Respondent.

First Respondent opposed the application. He stated *in limine* that the Founding Affidavit was not properly authorised and was therefore null and void. He disputed that the Third Respondent was a director of the First Applicant. First Respondent submitted that the matter was not urgent as the dispute dates back to 2023. In addition, he submitted that the Applicants are precluded from raising the issue of whether or not he is a director or shareholder of the First Applicant as the issue was determined in HCH 5514/23 and they are therefore estopped from reopening the issue. First Respondent also submitted that in the Supreme Court case SC 970/18, the Second Applicant unequivocally admitted, upon oath, that he is a current director and shareholder of First Applicant and he cannot seek to retract that admission. According to him the question of whether or not he is a director and shareholder of the First Applicant is *res judicata* and the matter must be dismissed with costs on a punitive scale. First Respondent stated further that the First Applicant does not have *locus standi* to seek a declaration that he is not a shareholder as that is an issue to be resolved by shareholders, separately from the company. The First Respondent also stated that the Applicant had not exhausted domestic remedies as the question of who is or is not a director of First Applicant should be resolved at a general meeting of its shareholders. Applicant submitted that declarations are not meant to resolve factual issues.

On the merits First Respondent submitted that the requirements of a declaration were not met as Applicants have placed nothing before the court to demonstrate that they have an interest relating to an existing, future or contingent right. He disputed that Gareth Fury is a 50% shareholder in First Applicant. He submitted that no valid resolution was passed to either remove him as a director or to appoint Third Applicant as a director. In his view, Second Applicant unilaterally and fraudulently altered the CR 14 as he did not resign as a director and shareholder of First Applicant. He insisted that the need to act arose on 30 August 2024 after judgement was issued in HCH 5514/23 confirming that he was a director in First Applicant. Further that Second Applicant judicially admitted that he is a director and shareholder of First Applicant. He pointed out that he is a 50% shareholder by virtue of acquiring shares from Gareth Fury and on that basis, he is entitled to chase away shameless imposters like the Third Applicant from the First Applicant to guard against pillaging of First Applicant's resources by freebooters like Third Applicant.

In the Answering Affidavit, Second Applicant insisted that First Respondent is neither a director nor a shareholder of First Applicant. He disputed that the issue of First Respondent's

directorship or shareholding was ever the subject of any proceedings. He submitted that the judicial admissions made in SC 970/18 were made in error and should not be relied upon.

On the hearing of the matter *Mr Mutero* persisted with the preliminary issues raised in the opposing papers. I believe one of them is dispositive of the matter and it will not be necessary to deal with the others. The dispositive point was to the effect that Applicants approached the court following a wrong procedure as there are disputes of fact. Mr *Mutero* submitted that a declaratur cannot resolve disputes of facts and that there are disputes pertaining to whether or not First Respondent is a shareholder, whether or not he purchased shares and whether or not he is a director of First Applicant. Mr *Mutero* referred to the case of *Tapatapa* v *Rydale Ridge (Pvt) Ltd* HH 486/21 in which an application for a declaratur was dismissed on the basis that there were material disputes of facts which could not be resolved on papers. He also referred to the case of *Mushaishi* v *Lifeline Syndicate and Another* 1990 (1) ZLR 284 in which it was stated that a declaratory order declares what the law provides. In *Econet (Pvt) Ltd* v *Telecel Zimbabwe (Pvt) Ltd* 1998 (1) ZLR 149 it was highlighted that a declaratory order does not confer any rights. In response to the preliminary issues Mr *Madzoka* did not address the court on whether or not there were disputes of facts. He did not comment on the authorities cited by Mr *Mutero.* When challenged by the court on whether or not the issue of directorship and shareholding are not factual issues, his response was that all legal disputes involve issues of fact. He simply reverted to what is stated in the Applicants' heads of argument that the matter is ''fundamentally a legal question, though it does involve some factual inquiry." In the Applicants' heads of argument, it is further stated that;

"The determination of directorship and shareholding relies on the law pertaining to the CR2 and CR 14, the legal position as whether or not a person is a shareholder without a share transfer document that proves that effect, rather than on a disputed factual narrative.''

That position would have been tenable if there were no allegations of the documents having been improperly altered. The email relied upon as the evidence that First Respondent resigned from directorship states in part

> "Obviously I cannot step away overnight as I wish to honour our commitment to RBZ and look after my interests until such time as there is clarity on how I will be paid. This will be done through Sabrina who will continue to manage the funds.....
>
> If I may suggest you find another person to buy me out as I believe that with what we have going with the Bambazonke is very attractive,"

Clearly there are issues which appear to be outstanding between the parties which were not addressed in the papers before me. The issues do not involve legal rights or obligations but are factual. In Hebstein and Van Winsen, The Civil Practice of the High Court of South Africa 5 ed p 1428 a declaratory order is defined as

> "An order by which a dispute over the existence of some legal right or obligation is resolved. The right of obligation can be existing, prospective or contingent and no specific consequent relief need be claimed."

The Applicants therefore approached the court through a wrong procedure as factual issues are in dispute. Section 14 of the High Court Act [*Chapter 7:06*] gives the court power to inquire into and determine an existing, future or contingent right or obligation. See *Johnson* v *AFC* 1995 (1) ZLR 65 and *Mukuruva* v *Maganyani and Another* HH 87/17

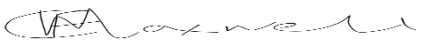
I find that Mr Madzoka tacitly conceded that there are material disputes of facts which cannot be resolved on the papers. That tacit admission was well made and accordingly the preliminary point is upheld.

COSTS

The ordinary rule is that costs follow the outcome. The First Respondent prayed for costs on a legal practitioner and client scale. In his heads of argument, the basis given is that Applicants dragged him to court on the basis of fabricated documentation and made false statements on oath in an effort to sway the court to act against First Respondent. He submitted that costs on a higher scale are awarded when a court wishes to mark its disapproval of the conduct of a litigant. He referred to the case of *Orr v Solomon* 1907 TS 281 for that position. That the documents relied upon are fabricated is in dispute. The facts relied upon by all the parties are in dispute. Therefore, whether or not Applicants are relying on fabricated documentation has not been established before me. Neither has a basis been laid for a conclusion that the Applicants acted out of bad faith. To me, in the circumstances of this case, that is a conclusion that can only be made, after evidence has been led to explain the issue of directorship and shareholding in First Applicant. I am not persuaded to award cost on an attorney and client scale.

Costs on an ordinary scale meet the justice of the case. Accordingly, I make the following order.

The application be and is hereby struck off the roll with costs



Absolom and Shepherd Attoneys, Applicant's legal practitioners
Clairwood chambers.
Murangamira and Associates, First Respondent's legal practitioners